

AI Investment Diligence Checklist

Seven questions that connect technical evidence to an investment decision and post-close action.

Use evidence, not a demonstration

Complete this checklist with the investment lead and technical reviewers. Ask management for primary evidence, record contradictions and identify what cannot be verified within the diligence window.

Mandate

Company / transaction / investment thesis / review date / accountable lead:

Material AI claim

Which revenue, retention, margin or operating-leverage assumption depends on AI?

A consistent finding record

For every issue capture: claim, evidence inspected, limitation, impact, owner and timing. Classify as supported, conditional, contradicted or unverified. Do not turn missing evidence into a positive conclusion.

Decision threshold

What would change valuation, deal protection, timing or willingness to proceed?

Companion to Jengara's "Seven AI diligence questions every investment committee should ask." A working checklist, not a substitute for transaction-specific specialist advice.

Thesis and data advantage

Establish whether AI matters and whether the underlying advantage can endure.

1 / Is AI material to the investment thesis?

Request product usage, customer evidence, retention analysis and revenue or cost attribution. Separate observed results from forecasts. Identify dependencies between the AI claim and the financial model.

Evidence / finding / implication

Source, date, reviewer, limitations, and the investment assumption affected:

2 / Is the data advantage durable and permissible?

Request data lineage, permissions, contractual restrictions, refresh processes, quality measures and evaluation-set provenance. Test how easily a competitor could reproduce or substitute the claimed advantage.

Evidence / finding / implication

Source, date, reviewer, limitations, and the investment assumption affected:

Follow-up owner and gate

Most important unresolved question, accountable person and decision deadline:

Scale and economics

Stress the operating model against the growth assumptions in the investment case.

3 / Can the architecture operate at forecast scale?

Inspect production measurements, latency distribution, failure logs, load-test conditions, recovery exercises and dependency maps. Ask which results are measured in production and which are prototype estimates.

Evidence / finding / implication

Workload tested, measured limits, forecast gap, remediation owner and cost range:

4 / Do the economics survive adoption?

Request fully loaded cost per accepted business outcome. Include model use, retrieval, retries, tool calls, controls, human review and platform operation. Compare downside usage and quality scenarios.

Evidence / finding / implication

Acceptance rate, cost boundary, allocation method, sensitivity and margin impact:

Evidence gate

What must be demonstrated before the growth or margin assumption is accepted?

Dependency, controls, action

Translate operating risk into an investment response.

5 / Is concentration risk understood?

Map model vendors, clouds, key people, proprietary data and geographic capacity. Test switching time, cost, quality loss and shared failure domains.

Evidence / owner / next action

Dependency, practical alternative, transition constraint and decision consequence:

6 / Are controls proportionate to the use case?

Inspect the system inventory, accountability, access, evaluation, monitoring, incident response and human oversight. Have qualified reviewers assess obligations for the actual deployment context.

Evidence / owner / next action

Use case, control tested, evidence gap and accountable remediation owner:

7 / What must happen after close?

Separate deal protections, first-100-day priorities and longer-term platform investment. Attach an owner, cost range, timing and evidence gate to each material issue.

Evidence / owner / next action

Highest-priority action and condition for accepting it as complete:

Make the recommendation clear

Summarize material findings in language the investment committee can act on.

Finding / thesis impact	Response + owner	Gate / timing
01		
02		
03		

Recommendation

Proceed / proceed with conditions / obtain evidence / do not proceed. Explain why:

Unverified assumptions

What remains unknown, how material is it, and who accepts the residual uncertainty?

Source and use

Adapted into a worksheet from Jengara's published seven-question investment-decision framework. Preserve the evidence trail with the completed checklist.

Source: jengara.ai/insights/ai-due-diligence-investment-committee/

The original article references NIST AI RMF, the EU AI Act and FinOps unit economics. This worksheet makes no jurisdiction-specific legal determination. Version 1.0 / September 2026.